

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

TOYOTA DE PUERTO RICO CORP., *Complainant*

v.

PUERTO RICO PORTS AUTHORITY, CROWLEY PUERTO RICO SERVICES, INC., AND OCEANIC GENERAL AGENCY, INC.,
Respondents.

DOCKET NO. 19-02

Served: July 2, 2019

BEFORE: Erin M. WIRTH, *Administrative Law Judge.*

ORDER DENYING PUERTO RICO PORTS AUTHORITY'S MOTION TO DISMISS

I. Introduction

On March 14, 2019, Respondent Puerto Rico Ports Authority ("PRPA") filed a motion to dismiss the complaint, which alleges several violations of the Shipping Act of 1984, as amended ("Shipping Act") in connection with an enhanced security fee ("ESF") collected by the port from 2012 to 2017. On March 29, 2019, Complainant Toyota de Puerto Rico Corp. ("Toyota") filed an opposition to PRPA's motion to dismiss. On April 10, 2019, Toyota filed its motion in compliance with an order to clarify its opposition. On April 23, 2019, PRPA filed its reply in support of the motion.

Two other Respondents in this proceeding, Oceanic General Agency, Inc. ("OGA") and Crowley Puerto Rico Services, Inc. ("Crowley"), also filed motions to dismiss. However, both OGA and Crowley subsequently were dismissed from the proceeding by stipulation. Notice of Dismissal (Apr. 25, 2019) (OGA); Notice of Dismissal (May 14, 2019) (Crowley). At this point, PRPA is the only remaining Respondent. For the reasons set forth below, PRPA's motion to dismiss is **DENIED**.

II. Arguments of the Parties

PRPA contends that the proceeding should be dismissed for four reasons: lack of standing as the enhanced security fees were passed on to Toyota by Crowley and OGA; lack of jurisdiction because PRPA is not a marine terminal operator ("MTO") as it relates to Toyota; statute of limitations; and PRPA is an arm of the state with sovereign immunity. Motion at 3-10.

Toyota asserts that the motion to dismiss should be denied because Toyota has standing since its injuries are concrete, particularized, and actual, fairly traceable to the Respondents, and likely to be redressed through a monetary award; the Commission has held that PRPA is a

marine terminal operator subject to the Commission's jurisdiction; the claim is not time-barred because it is based on a continuing violation whose statute of limitations was tolled by a class action lawsuit; and PRPA has not been considered an arm of the state by the Commission. Opposition at 1-2.

III. Analysis

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

Rule 12(b)(1) permits a party to raise, by motion, lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise, by motion, failure to state a claim. *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 135-36 (citation omitted). "Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit." *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223-24 (5th Cir. 2012). The party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction. *Branon v. Debus*, 289 Fed. Appx. 181, 183 (9th Cir. 2008) (citing *Lew v. Moss*, 797 F.2d 747, 749 (9th Cir. 1986)).

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 678. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.”

Cornell, 33 S.R.R. at 620-621 (citations omitted). The Commission has clearly indicated that federal case law interpreting Federal Rule of Civil Procedure 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 55 (FMC 2015) (“*Maher*”); *Cornell*, 33 S.R.R. at 620; *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136.

At this stage, “Rule 12(b)(6) does not require ‘the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible.’” *Maher*, 34 S.R.R. at 58 (quoting *Arista Records LLC v. Doe 3*, 604 F.3d 110, 120-21 (2d Cir. 2010)). Instead, “the complaint’s factual allegations ‘must be enough to raise a right to relief above the speculative level’ and must ‘nudge claims across the line from conceivable to plausible.’” *Maher*, 34 S.R.R. at 57-58 (quoting *Cornell*, 33 S.R.R. at 620). However, “[m]ere labels and conclusions . . . will not suffice.” *Maher*, 34 S.R.R. at 58.

B. Discussion

1. Standing

PRPA argues that Toyota lacks standing as PRPA charges the enhanced security fee to shipping operators, not shippers such as Toyota. Motion at 4. Toyota asserts that it has standing as there is an adequate causal connection between the challenged action and the identified harm because the enhanced security fees it paid were fairly traceable to the Respondents. Opposition at 3.

The parties rely on the Supreme Court’s decision in *Lujan v. Defenders of Wildlife*, which clarified the elements necessary to establish standing.

Over the years, our cases have established that the irreducible constitutional minimum of standing contains three elements. First, the plaintiff must have suffered an “injury in fact” – an invasion of a legally protected interest which is (a) concrete and particularized and (b) “actual or imminent, not ‘conjectural’ or ‘hypothetical.’” Second, there must be a causal connection between the injury and the conduct complained of – the injury has to be “fairly . . . trace[able] to the challenged action of the defendant, and not . . . the result [of] the independent

action of some third party not before the court.” Third, it must be “likely,” as opposed to merely “speculative,” that the injury will be “redressed by a favorable decision.”

Lujan v. Defs. of Wildlife, 504 U.S. 555, 560-61 (1992) (citations omitted).

In a related case in federal court regarding the PRPA enhanced security fee, the district court denied a motion to dismiss on the basis of standing, stating that “plaintiffs establish an adequate ‘causal connection between the challenged action and the identified harm’ because the enhanced security fees paid by the plaintiffs are ‘fairly traceable to the defendants.’” *Dantzer, Inc. v. Puerto Rico Ports Auth.*, 335 F. Supp. 3d 226, 241 (D.P.R. 2018) (citing *Katz v. Pershing, LLC*, 672 F.3d 64, 71 (1st Cir. 2012) and *Lujan*, 504 U.S. at 560). This issue of standing to contest the enhanced security fee at the port of San Juan, as well as the sovereign immunity issue, are currently on appeal to the Court of Appeals for the First Circuit. Reply at 2.

The complaint alleges an injury, the requirement to pay the enhanced security fee, that is claimed to be fairly traceable to the PRPA’s actions, and could be redressed by a favorable decision. At this stage of the proceeding, standing has been sufficiently pled.

The Shipping Act only authorizes reparations “to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). PRPA argues that the pass through nature of the fee impacts standing, however, it may also impact whether there is an actual injury. The complaint alleges that “Toyota has paid \$1,166,952.59 to P.R.P.A. on account of ESF.” Complaint at 16. Construing the factual allegations in the complaint in the light most favorable to Complainant, at this stage of the proceeding, Toyota has sufficiently alleged an actual injury. As the case progresses, Toyota should be prepared to establish both standing and actual injury for any reparations sought.

2. Jurisdiction

PRPA argues that to be liable it must be a marine terminal operator serving a common carrier transporting cargo between the United States and a foreign country. PRPA further argues that Toyota failed to show that Crowley and OGA are common carriers, and that “mere bold assertions regarding a foreign country commerce link are insufficient” to establish common-carrier status. Motion at 7-8. Toyota asserts that it “has been long held by this Honorable Commission that PRPA is a marine terminal operator” and that PRPA would still be considered a marine terminal operator for the port of San Juan, regardless of the status of Crowley and OGA, on the basis that PRPA has connections with other common carriers that call at the port. Opposition at 4-5.

The Commission has jurisdiction over the violations alleged by Complainant if PRPA is a marine terminal operator. 46 U.S.C. § 41102(c) (“A common carrier, marine terminal operator, or ocean transportation intermediary may not”); 46 U.S.C. § 41104 (“A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not”); 46 U.S.C. § 41106 (“A marine terminal operator may not”). There are no allegations or indications that PRPA is a common carrier or ocean transportation intermediary.

The Shipping Act defines a marine terminal operator.

The term ‘marine terminal operator’ means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.

46 U.S.C. § 40102(15).

Marine terminal operators provide terminal facilities in connection with common carriers. A common carrier is also defined by the Shipping Act.

(7) Common carrier. The term “common carrier”—

(A) means a person that—

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country; but

(B) does not include a carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker, or by vessel when primarily engaged in the carriage of perishable agricultural commodities--

(i) if the carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities; and

(ii) only with respect to the carriage of those commodities.

46 U.S.C. § 40102(7); *see also* 46 C.F.R. § 515.2(e).

The definition of a marine terminal operator has been discussed in a series of tug and harbor fees cases. In a case involving harbor fees at Plaquemines Port in Louisiana, the Commission stated: “The statutory scheme contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Louis Dreyfus Corp. v. Plaquemines Port, Harbor & Terminal Dist.*, 21 S.R.R. 1072, 1079 (FMC 1982) (“*Plaquemines I*”). The harbor fees at issue were subject to scrutiny because the “Commission

finds that such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.” *Plaquemines I*, 21 S.R.R. at 1080.

In *Petchem I*, the respondents asserted that Canaveral Port was not a marine terminal operator, contending that it did not serve cargo common carriers, that cruise ships were not common carriers, and that the tug services at issue did not constitute providing terminal facilities. *Petchem, Inc. v. Canaveral Port Auth.*, (“*Petchem I*”), 23 S.R.R. 974, 981, 983, 985 (FMC 1986), *aff’d*, *Petchem, Inc. v. FMC* (“*Petchem II*”), 853 F.2d 958 (D.C. Cir. 1988). The Commission found that although Canaveral Port may have previously served common carriers and maintained a tariff at the Commission that included charges for servicing common carriers, that these facts were not sufficient to find jurisdiction on the basis of serving cargo common carriers. The Commission stated that “*Continental Grain* does not establish that ‘holding out’ by itself creates Commission jurisdiction over a terminal facility. If jurisdiction were to be found here over Port Canaveral on the basis of its tariff publication and solicitation of common carriers, an explicit extension of existing precedent would be required.” *Petchem I*, 23 S.R.R. at 983 (discussing *Prudential Lines, Inc. v. Continental Grain Co.*, 21 S.R.R. 133 (ALJ 1981), *aff’d* 21 S.R.R. 1172 (FMC 1982)). The Commission based its jurisdiction on a finding that cruise ships are common carriers and the exclusive tug activities related to providing terminal facilities, findings which were discussed but not decided by the federal court on appeal. *Petchem II*, 853 F.2d at 961-62.

In a subsequent case involving the Plaquemines Port, the D.C. Circuit addressed the jurisdictional issue.

We agree with the FMC that the Port’s combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities. Like the FMC, we read the purpose of the relevant portions of the 1916 Act, and its successor, the 1984 Act, to be the prevention of discrimination in the provision of terminal facilities. Ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate. Thus, the critical issue for jurisdiction is that the degree of the Port’s involvement enables the Port to discriminate. In this case, the Port has the ability to discriminate in the fees it charges by controlling access to private terminal facilities. This is sufficient to sustain FMC jurisdiction.

Plaquemines Port, Harbor & Terminal Dist. v. Federal Maritime Commission, 838 F.2d 536, 543 (D.C. Cir. 1988) (“*Plaquemines II*”).

The First Circuit took a different approach, finding that the Commission lacked jurisdiction over a harbor fee, holding that where the Puerto Rico Ports Authority does not own or operate any facilities serving common carriers by water at the port of Ponce, that fact should end the jurisdictional inquiry. *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 919 F.2d 799, 802 (1st Cir 1990) (“*PRPA (1st Cir. 1990)*”) (citing *Plaquemines I*, 21 S.R.R. at 1083 (Moakley, dissenting)). That decision focused on the first element of the marine terminal operator definition – whether services provided include furnishing wharfage, dock, warehouse, or other terminal facilities. In addition, services provided at other ports were not sufficient to

create jurisdiction. The First Circuit concluded that while “PRPA may furnish terminal facilities at San Juan and Mayaguez, the Commission properly did not base its jurisdiction on those activities. We hold that PRPA, through the imposition of a harbor service fee at Ponce, has not subjected itself to the jurisdiction of the Commission.” *PRPA (1st Cir. 1990)*, 919 F.2d at 802-03.

In another case, the Commission explained that to determine whether a party is a marine terminal operator, the first element to be considered is whether wharfage, dock, warehouse, or other terminal facilities are provided. *The Lake Charles Harbor & Terminal Dist. v. West Cameron Port, Harbor & Terminal Dist.*, Dkt. 06-02, 2007 FMC LEXIS 33 at *9 (FMC Aug. 2, 2007) (Order Discontinuing Proceeding). The second step is to determine whether the facilities are provided in connection with a common carrier. *Lake Charles Harbor*, 2007 FMC LEXIS 33 at *17. In the *Lake Charles* case, the Commission affirmed the granting of a motion to dismiss where the West Cameron Port did not provide any services that constituted the equivalent of terminal facilities. *Lake Charles Harbor*, 2007 FMC LEXIS 33 at *17.

In a recent decision, the Commission affirmed the dismissal of a proceeding, holding that “under the Shipping Act, the City and Port [of Homer, Alaska,] are not engaged ‘in the business of furnishing wharfage, dock warehouse, or other terminal facilities in connection with a common carrier’ at the Fish Dock” even though they served common carriers at other docks in Homer. *Auction Block Co. v. The City of Homer & Port of Homer*, 33 S.R.R. 589, 590 (FMC 2014).

The complaint *sub judice* alleges violations of the Shipping Act at Puerto Rico’s largest port, San Juan. This is a different port than the port considered by the First Circuit in *PRPA (1st Cir. 1990)*. The complaint alleges that PRPA “owns and manages the Port of San Juan” and specifically alleges that PRPA is a marine terminal operator serving common carriers. Complaint at 4, 9. The D.C. Circuit has found that PRPA is a provider of terminal facilities subject to the Commission’s jurisdiction for the Port of San Juan, the port at issue here. *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 642 F.2d 471, 485 (D.C. Cir. 1980) (“*PRPA (D.C. Cir. 1980)*”). Therefore, the complaint is sufficient to raise a plausible claim.

3. Statute of Limitations

PRPA argues that any enhanced security fee charges prior to three years before the complaint was filed “should be deemed time barred and dismissed.” Motion at 8. This would mean that Toyota could not receive reparations for any enhanced security fee charged prior to December 20, 2015. Motion at 8.

Toyota acknowledges that the “Shipping Act precludes recovery of damages suffered more than three years after the claim accrues” but argues that the claims are not time barred because they are continuing violations and because a class action pending in federal court tolls the statute of limitations under *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1974). Opposition at 5-6.

Under the Shipping Act, reparations may only be awarded to a complainant for injury caused by a respondent’s violation of the Shipping Act if the complaint is filed within three years

after the claim accrues. 46 U.S.C. § 41301(a). “Absent an exception, a claim accrues (and the statute of limitations begins to run) ‘when a defendant commits an act that injures a plaintiff’s business.’” *Maheir Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1185, 1191 (FMC 2013) (“*Maheir Terminals*”) (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971)). The time to file the complaint begins to run “when a complainant knew, or should have known, that it had a cause of action.” *Maheir Terminals*, 32 S.R.R. at 1193. The statute of limitations is an affirmative defense. *Maheir Terminals*, 32 S.R.R. at 1191. However, the statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order. *Maheir Terminals*, 32 S.R.R. at 1190.

In *Maheir Terminals*, continuing payments under leases signed more than three years prior to the filing of the complaint were not sufficient to permit a claim for reparations to proceed although a claim for a cease and desist order was allowed to proceed. *Maheir Terminals*, 32 S.R.R. at 1195. In *Seatrains Gitmo*, the statute of limitations ran from each new act denying access to a specific dock, what the decision refers to as a continuing violation. *Seatrains Gitmo, Inc. v. Puerto Rico Maritime Shipping Auth.*, 18 S.R.R. 1079, 1081 (ALJ 1978).

While the statute of limitations may limit recovery for violations prior to three years before the complaint was filed (*i.e.* prior to December 20, 2015), it appears that some of the alleged violations would fall within the three-year period. Accepting the allegations as true that each time the enhanced security fee was charged constituted a new violation, Complainant may be able to recover some reparations. Even if the statute of limitations limits reparations, Complainant could be entitled to a cease and desist order, although it does not appear that one was requested in the complaint.

Furthermore, the issue of whether the statute of limitations is tolled by a class action in federal court is currently before the Commission after the undersigned found in a different proceeding that “*American Pipe* tolling does not apply to this situation where the previously filed claims were filed in different courts, alleged different causes of action, and sought different remedies.” *In re Vehicle Carrier Services*, 1 F.M.C.2d 45, 87-88, 2018 FMC LEXIS 40 at *118 (ALJ May 7, 2018) (appealed to the FMC on July 30, 2018). There is no reason to differ from that finding in this proceeding.

At this point, it would not be appropriate to dismiss the proceeding due to potential statute of limitations issues. While they may impact the amount at issue, they do not justify dismissal of the entire proceeding.

4. Sovereign Immunity

PRPA acknowledges that “[t]hroughout the years, PRPA’s arm-of-the-state status has been inconsistent” and asserts that “PRPA’s hybrid entity status – a matter of first impression which is currently on appeal before the Federal Court of Appeals for the First Circuit – shields it from legal actions that precisely target its governmental functions.” Motion at 9. PRPA argues that it is an arm of the state or a hybrid entity and that this proceeding arises out of a purely governmental function, “PRPA’s implementation of a cargo scanning program that stems from [a] statutory mandate to, *inter alia*, strengthen national security and increase the Commonwealth’s ability to collect taxes.” Motion at 10.

Toyota asserts that “PRPA has failed to demonstrate that it is an arm of the state in cases before the FMC and before the federal courts. Therefore, it is not entitled to sovereign immunity.” Opposition at 7. Toyota further claims that the Commonwealth of Puerto Rico “would not be liable for a judgement against PRPA in this action,” so that “PRPA is not entitled to immunity from this case.” Opposition at 8.

“The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities.” *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only “States and arms of the State possess immunity from suits authorized by federal law.” *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006). Although immunity extends to entities which are arms of the state, the Supreme Court has repeatedly refused to extend sovereign immunity to municipalities, even when such entities exercise a “slice of state power.” *Chatham County*, 547 U.S. at 193-94 (citations omitted); *see also Alden v. Maine*, 527 U.S. 706, 756 (1999) (sovereign immunity “does not extend to suits prosecuted against a municipal corporation or other governmental entity which is not an arm of the State.”).

The Supreme Court specifically has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party’s complaint against a state-run port. *South Carolina State Ports Auth.*, 535 U.S. at 747. Commission cases have addressed the Eleventh Amendment immunity of ports in South Carolina, Puerto Rico, and Maryland. In all three cases, the ports were ultimately found entitled to immunity. *South Carolina State Ports Auth.*, 535 U.S. at 743; *Puerto Rico Ports Auth. v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008) (“*PRPA (D.C. Cir. 2008)*”); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 30 S.R.R. 358 (FMC 2004).

The issue of sovereign immunity, and specifically whether PRPA is an arm of the state, has been refined and evolving. While the D.C. Circuit in *PRPA (D.C. Cir. 2008)* found that the PRPA was entitled to immunity, the First Circuit distinguished *PRPA (D.C. Cir. 2008)* and found that PRPA was not entitled to sovereign immunity in *Grajales*. *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11, 30 (1st Cir. 2016). Another case involving the enhanced security fees at issue in this proceeding is currently on appeal to the First Circuit. *Dantzler, Inc. v. Puerto Rico Ports Auth.*, 335 F. Supp. 3d 226 (D.P.R. 2018).

Given the circuit split on this issue as well as the pending First Circuit appeal, it would be premature to resolve the issue at this point. It is clear that additional facts regarding the structure of the PRPA and the potential impact of any reparations awarded on Puerto Rico’s state finances will be relevant to the determination of this issue. At this point, it does not clearly appear that the case should be dismissed on sovereign immunity grounds.

C. Conclusion

For the reasons discussed above, PRPA’s motion to dismiss is denied. PRPA will be provided time to file its answer to the complaint. In addition, by July 31, 2019, the remaining parties shall contact CADRS and shall submit a joint status report with proposed schedule as explained in the initial order issued in this proceeding on February 6, 2019. It is anticipated that limited discovery will be required in this proceeding as the parties should only need to

supplement discovery that has been exchanged in other, related proceedings. The joint proposed schedule should complete all discovery and briefing with sufficient time to meet the Commission's deadline of February 4, 2020, to issue the initial decision in this matter.

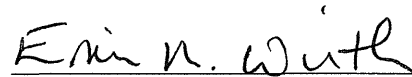
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that motion to dismiss filed by Puerto Rico Ports Authority be denied. It is

FURTHER ORDERED that the Puerto Rico Ports Authority shall file its answer to the complaint by July 16, 2019. It is

FURTHER ORDERED that the parties shall contact CADRS and shall submit a joint status report with proposed schedule by July 31, 2019.

A handwritten signature in cursive script, reading "Erin M. Wirth", is written over a horizontal line.

Erin M. Wirth
Administrative Law Judge